

Benchmarking of Internal Approaches

Source: <https://www.prarulebook.co.uk/prarules/benchmarking-of-internal-approaches/03-03-2026>

Effective Date: 03-03-2026

Type: PRA Rule

Scraped: 2026-03-02 20:49

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Application and Definitions

1.1

This Part applies to every *_firm_* that is a *_CRR firm_*.

1.2

Unless otherwise defined, any italicised expression used in this Part and in the *_CRD_* has the same meaning as in the *_CRD_*.

2

Supervisory Benchmarking of Internal Approaches for Calculating Own Funds Requirements

2.1

Except for *_operational risk_*, a *_firm_* that is permitted to use *_internal approaches_* for the calculation of risk weighted exposure amounts or *_own funds_* requirements must report annually to the *_PRA_* :

1. (1) the results of the calculations of their *_internal approaches_* for their exposures or positions that are included in the benchmark portfolios; and
2. (2) an explanation of the methodologies used to produce those calculations.